

2. Lower strike price minus total premium: In this example: $15750 - 95.75 = 15654.25$

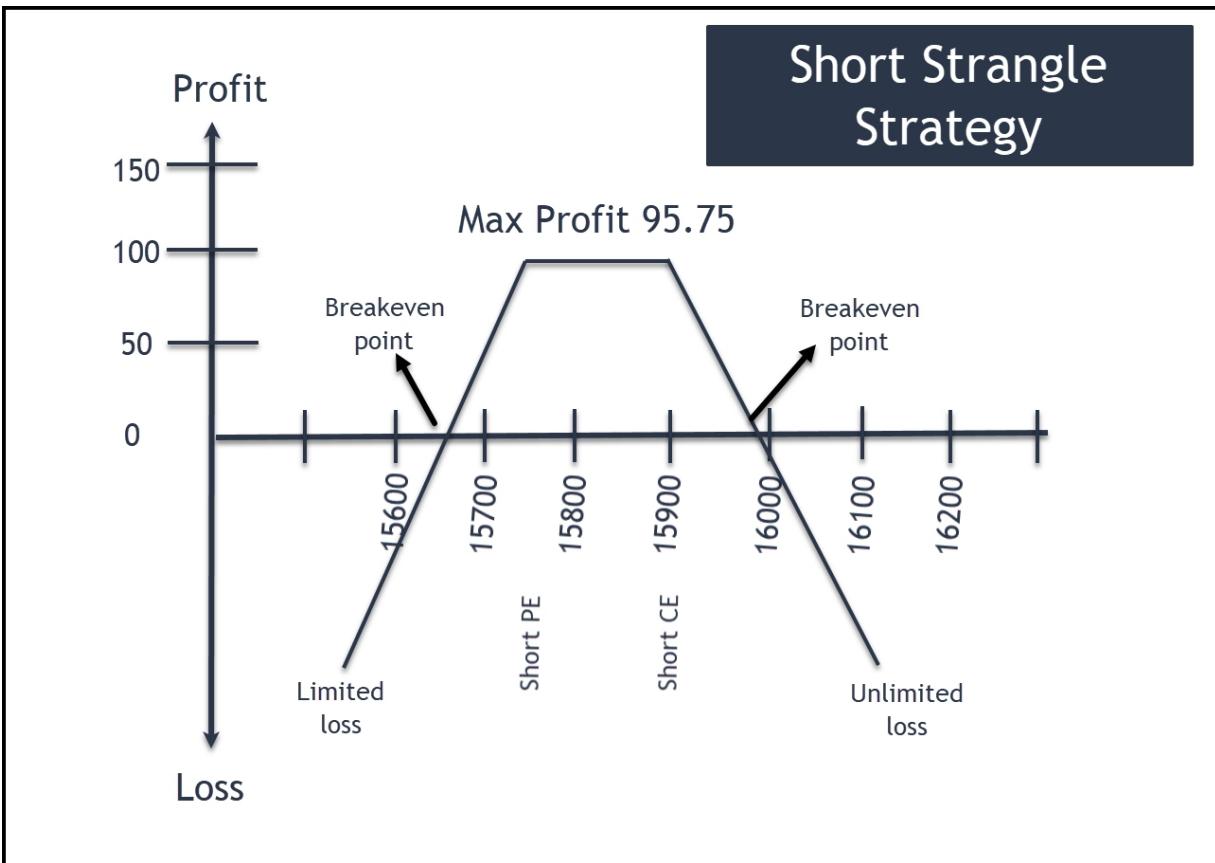


Image 9.12 – P&L Chart in Short Strangle Strategy

Scenario-1

If Nifty closes at 15800 (or anywhere between 15750-15900).

It is within the range of the strike prices (15750 PE and 15900 CE).

Hence, both CE and PE options will expire without worth, and therefore the entire premium is the profit.

So, the net profit = Rs. 95.75 (37.75 + 58)

Scenario-2

If Nifty closes at 15600.